NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 14.12.2021 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CA(CAA)No.15/230/AMR/2021		230	Seetharama Oil Industries Limited (Transferee Company)

s

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CA(CAA)No.15/230/AMR/2021 is allowed, vide separate orders.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

**BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,
AMARAVATI BENCH
AT HYDERABAD**

CA(CAA)No. 14/230/AMR/2021
&
CA(CAA)No. 15/230/AMR/2021

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of

CA(CAA)No. 14/230/AMR/2021

Sierra Agro Private Limited
Having its registered office at
Survey No. – 59/1, Rajam Mandal,
Penubaka Village, Srikakulam
Andhra Pradesh – 532 127. ... Applicant/Transferor Company

CA(CAA)No. 15/230/AMR/2021

Seetharama Oil Industries Private Limited
Having its registered office at
Door No.5-34, Seetarama Colony,
Opp. LIC Office, Rajam,
Srikakulam,
Andhra Pradesh – 532 127. ... Applicant/Transferee Company

Date of order: 14.12.2021

Coram:

Justice Telaprolu Rajani, Member (Judicial)

Parties present:

For the Applicants: Mr. A. Nagaraj Kumar, Advocate

Per: Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Applications bearing CA(CAA)No. 14/230/AMR/2021 and CA(CAA)No.15/230/AMR/2021 are filed by

Sierra Agro Private Limited (Transferor Company) and Seetharama Oil Industries Private Limited (Transferee Company), under Section 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 (hereinafter referred to as "the Rules"). Since the relief sought for is the same a common order is being passed in the above two applications. The Applicant Companies inter-alia seeking an order to dispense with convening of the meetings of the Equity Shareholders, Secured and Unsecured Creditors of both the Applicant Companies for consideration of the Scheme of Amalgamation (the Scheme for short) between the Applicant Companies and their respective shareholders and creditors as envisaged under the said Scheme.

2. The Registered Offices of the Applicant Companies are situated in the State of Andhra Pradesh.

3. The Transferor Company was incorporated as a Private Limited Company on 13.12.2007. The Authorised Share Capital as on 31.03.2020 is Rs.1,00,00,000/- divided into 10,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up equity share capital is Rs.1,00,00,000/- divided into 10,00,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business of cultivators, growers, manufacturers, millers grinders, rollers, processors, cold storers, canners and preservers and dealers of food grains and other agricultural dairy, horticulture and poultry products, fruits, vegetables, herbs, medicines, flowers, drinks, fluids, gas and flesh and preservable products, etc.

4. The Transferee Company was incorporated as a Private Limited Company on 12.12.2017. The Authorised Share Capital as on 31.03.2021 is Rs.1,75,00,000/- divided into 17,50,000 equity shares of Rs.10/- each. The issued, subscribed and paid up equity share capital is Rs.1,75,00,000/- divided into 17,50,000 equity shares of Rs.10/- each.

The main objects of the Company are to carry on the business of preparation of solvent oil, extraction of oil from agricultural produce and production of agribased products and oiled rice bran, etc.

5. According to the Applicant Companies the Scheme will provide significant impetus to the growth of the Transferee Company. It will lead to synergies of operations and a stronger and wider capital and financial base for future growth/expansion of the Transferee Company. It will also result in economy of scale, reduction in overheads, administrative, managerial and other expenditure and increase in operational rationalization, organizational efficiency and optimal utilization of various resources. In order to achieve the aforesaid objectives, the Board of Directors of the Applicant Companies has proposed to amalgamate the Transferor Company with the Transferee Company.

6. The Board of Directors of the Applicant Companies in its respective Board Meetings held on 24.06.2021 has approved the Scheme with appointed date as 01.04.2021, subject to the approval of its shareholders and creditors.

7. There are no proceedings pending under Section 210 to 227 of the Companies Act, 2013, against the Applicant Companies.

8. The **Transferor Company** has filed certificate of the Auditor stating that as on 31.03.2020 there are **12** (Twelve) Equity Shareholders together holding 10,00,000 equity shares of the Transferor Company and they have given their consent by way of affidavits.

9. The **Transferor Company** has filed certificate of the Auditor stating that as on 31.03.2020 there are no **Secured Creditors** in the Transferor Company.

10. The **Transferor Company** has filed certificate of the Auditor stating that as on 31.03.2020 there are **6** (Six) Un-Secured Creditors having together a debt of Rs.2,90,22,882/- and **2** (Two) Creditors under Current Liabilities having together a debt of Rs.60,00,000/- of the Transferee Company and they have given their consent by way of affidavits.

11. The **Transferee Company** has filed certificate of the Auditor stating that as on 31.03.2020 there are **5** (Five) Equity Shareholders together holding 17,50,000 equity shares of the Transferee Company and they have given their consent by way of affidavits.

12. The **Transferee Company** has filed certificate of the Auditor stating that as on 31.12.2021 there is **1** (One) Secured Creditor i.e. SBI Overseas Branch having a debt of Rs.26,74,917/- of the Transferee Company and has given its consent.

13. The **Transferee Company** has filed certificate of the Auditor stating that as on 31.03.2020 there is **1** (One) Un-Secured Creditor i.e. Axis Bank having debt of Rs.26,74,917/- of the Transferee Company has given its consent. Further, there are **146** (One Hundred and Forty Six) Sundry Creditors having together a debt of Rs.10,21,82,411/- out of which **68** (Sixty Eight) sundry creditors having together a debt of Rs.10,09,17,229/- constituting 98% of the total Sundry Creditors of the Transferee Company and have given their consent by way of affidavits.

14. Heard the submissions made in this regard by the Counsel for the Applicant Companies and perused the documents filed.

15. The **Equity Shareholders** of all the Applicant Companies have given consent affidavits agreeing to the Scheme and hence the meeting of the **Equity Shareholders** of all the Applicant Companies are dispensed with, in terms of Section 230(9) of the Act.

16. Since there are no **Secured Creditors** in the Transferor Company, there is no need to conduct the meetings of the Secured Creditors.

17. The **Unsecured Creditors** and **Sundry Creditors** of the Transferor Company have given consent affidavits agreeing to the Scheme and hence the meeting of the **Unsecured Creditors** of both the Transferor Company are dispensed with, in terms of Section 230(9) of the Act.

18. The sole **Secured Creditor** of Transferee Company has given consent agreeing to the Scheme and hence the meeting of the **Secured Creditor** of the Transferee Company is dispensed with, in terms of Section 230(9) of the Act.

19. The sole **Unsecured Creditor** and 98% of the **Sundry Creditors** of Transferee Company have given consent agreeing to the Scheme and hence the meeting of the **Unsecured Creditors and Sundry Creditors** of the Transferee Company are dispensed with, in terms of Section 230(9) of the Act.

20. In compliance of sub-section (5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, the applicant company shall send notice under sub section (3) of Section 230 read with Rule 6 of the Rules with a copy of the Scheme, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern Region; (b) the Registrar of Companies, Andhra Pradesh; (c) the Income Tax Authorities; and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this

Tribunal within a period of 30 (thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

21. With the above directions, the Company Applications i.e. CA(CAA)No.14/230/AMR/2021 and CA(CAA)No.15/230/AMR/2021 are disposed of.

TELAPROLU RAJANI
Member (Judicial)

Kaladhar